

(UAC) is banking on the competitive advantage in price over western models to sell its AN-148 and has signed deals at the recent India Aviation 2010 exhibition in Hyderabad which has emerged as a vital biennial stop in the global aviation business circuit.

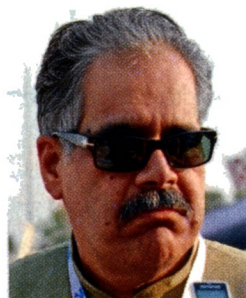
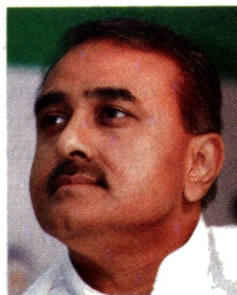
Helicopter makers are also dreaming big. Eurocopter will float an Indian subsidiary to manage its operations that include a helicopter MRO facility as a joint venture with Pawan Hans Helicopters, India's largest civil helicopter operator, by the year-end. They are also joining hands to set up a training institute complete with a full flight simulator for the AS 365 N3 Dauphin. Tapping a critical niche market in aviation business has also begun. Religare Voyages, which is into the air charter business, will launch an air ambulance service. "We are tying up with hospitals within India as well as South and South East Asian countries to take advantage of the booming medical tourism sector in India," says CEO Sanjay Godhwani. Religare Voyages acquired Asia's first Falcon 7X from Dassault at the Hyderabad air show.

"Less than 3 per cent of Indians get to travel once a year by air and even if it rises to just 10 per cent we would unlock tremendous potential," says Civil Aviation Minister Praful Patel. Overall business is set to grow beyond the current compounded rate of 18 per cent.

Both the big plane suppliers, Boeing and Airbus, are bullish. "The key to develop the market is in revenue optimisation by adjusting capacity, improving efficiency and network expansion through global alliances. While in the short run, the industry is likely to continue making losses because of overcapacity, high fuel prices and increased borrowing costs, the long-term picture is

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PRAFUL PATEL,
Civil Aviation Minister



“ Our fleet will be up from 25 to 40 by 2012. We will raise the frequency from existing destinations rather than add new ones. ”

ADITYA GHOSH,
President, Indigo Airlines

“ Traffic growth in the country over the next 20 years will be 7.3 per cent as against the global average of 4.7 per cent. ”

MIRANDA MILLS,
Vice-President, Sales, India, Airbus



bright," explains Dinesh A. Keskar, president, Boeing India. Recent trends in domestic capacity adjustments by Indian carriers have brought the supply-demand equation into better balance.

Equally gung-ho is Airbus which projects India's passenger aircraft fleet almost quadrupling to 1,163 by 2028. "Traffic growth would be among the world's highest, averaging 7.3 per cent over the next 20 years as against the global average of 4.7 per cent as domestic traffic will grow at 12.2 per cent annually," says Miranda Mills, Airbus vice-president, Sales, in India. Clearly, the prospect of accelerated growth has turned India into an attractive market.

A holistic analysis suggests there are six critical success factors for airlines in the India: greater flexibility to

adapt to changing market dynamics without resorting to mass restructuring; transparent pricing policy; ability to reduce non-fuel costs, which are largely a function of government regulation and global market conditions; streamlining of passenger operations driven by effective coordination with airport operators; deployment of new-age fuel aircraft and business innovations to differentiate service offerings in a competitive market.

There are constraints too—heavy duties, crew qualification, flight clearance issues and limited parking. The Airports Authority of India (AAI) will spend Rs 4,662 crore to modernise 35 non-metro airports, upgrade 80 others and build 10 greenfield airports. "We plan to develop the city side of the airports through private participation and make them profitable through non-aeronautical revenue streams," says AAI chairman V.P. Agrawal. Terminal and cargo operations will be retained by AAI. "Indian aviation is undergoing a paradigm shift as low-cost carriers drive the business. To leverage growth, we need to develop a successful long haul airline as well as overhaul the regulatory and policy framework," says Kapil Kaul, CEO, Centre for Asia Pacific Aviation.

India is also emerging as a hub for manufacturing and MRO on the back of a skilled technical workforce, fast developing engineering services, research and development expertise and strategic geographic location. Yet, a comprehensive strategy to encourage aerospace related production and growth plans in SEZ and non-SEZ areas is yet to evolve. An integrated aerospace ecosystem supported by hi-tech facilities can supply high precision components to global majors. If that happens soon, Indian aviation could fly even higher. ■